

EG US Daily: Closure of critical minerals procurement loophole will pressure defense primes

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 - * Generic drug tariffs face high barriers to implementation
 - * Michigan primary points to progressives' electoral challenges ahead of 2028
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Closure of critical minerals procurement loophole will pressure defense primes. President Trump signed an executive order tightening enforcement of existing defense procurement rules by restricting waivers that have allowed DoD to buy otherwise restricted foreign critical materials when compliant supply was deemed unavailable. The order in effect mandates end-to-end supply chain tracing and will accelerate the shift toward domestic and allied sourcing of critical inputs.

* The EO makes defense sourcing waivers the exception rather than the norm. DoD must stop issuing most procurement waivers from January 2027, while imposing stricter evidentiary and mitigation requirements for limited exceptions.

* Defense contractors, especially smaller companies and startups, will face substantially higher compliance burdens. DoD is directed to require end-to-end supply chain mapping – from raw materials to finished systems – along with supplier ownership screening.

* Implementation is likely to lag behind policy ambitions. The EO gives DoD just 180 days to establish new compliance requirements and review existing acquisitions, despite the complexity of defense supply chains and limited visibility into lower-tier suppliers.

* Looking forward, in light of the EO's curtailment of waiver authority, a legislative amendment to change the ban's effective date, most likely for a year, is the most plausible remedy to delay enforcement.

Generic drug tariffs face high barriers to implementation. President Trump announced yesterday that generic drugs imported into the US will see a 100% tariff starting in August 2028. We are skeptical that

this threat ever comes to fruition.

* The two-year timeline to implementation appears to be an allowance to pharmaceutical companies to reshore generics manufacturing to the US. But even that timeline likely isn't long enough for any significant generics reshoring to occur, as companies haven't yet started the preparations necessary.

* We do not expect the tariff will go into effect on the August 2028 timeline or at the suggested rate; instead, Trump is employing the tariff threat to twist the arms of pharma companies to execute on reshoring. Widespread tariffs on generics would likely be too disruptive to the healthcare system for the administration to follow through.

* Two years, moreover, is a long time for Trump to back down on the threat of implementation, potentially on the grounds that pharma companies' reshoring plans for non-generic drugs suffice. If the tariff did appear to be on the road to implementation in the months ahead of August 2028, companies would likely stockpile generic drugs and hope that the tariff would be eliminated under the administration taking office in January 2029.

Michigan primary points to progressives' electoral challenges ahead of 2028. The Michigan primary for the Democratic Senate nomination, between progressive Abdul El-Sayed and moderate Rep. Haley Stevens (D-MI), is exposing a key issue for progressive candidates in the 2028 presidential primaries: While progressives are strong among college-educated white voters, they are weak among Black voters, a key Democratic constituency.

* In a recent Detroit News poll of the state, El-Sayed leads among white voters by 12 points and among college-educated voters by seven points—but trails by 46 points among Black voters, who are about 20% of the sample, roughly the same as their share in the Democratic electorate nationally. Stevens's whopping lead among Black voters contributed to her overall lead of seven points in the survey.

* That Black voters strongly break for the moderate candidate is down to the simple fact that the vast majority of Black voters are Democrats. That means that, among Democrats, the median Black voter is to the right of the median white voter. In Cooperative Election Study data from 2024, 72% of white voters who identify as Democrat say they are "liberal" or "very liberal," whereas only 47% of Black Democrats do.

* Difficulties in appealing to Black voters will be a major issue for progressive candidates in the 2028 presidential primaries, in which Black voters will be key due both to their relatively large size in the Democratic electorate and due to the early placement of South Carolina in the primary calendar. No Democrat can win the presidential nomination with taciturn support among Black voters; as a result, expect progressives over the next 12 months to focus heavily on building Black support, through both outreach to influential figures like Rep. Jim Clyburn (D-SC) and radio host Charlamagne tha God and through campaign events targeted specifically at the group.

Quote of the Day

"The House bill is not nearly as robust as I would like it, but something is better than nothing. I think that's moving the ball forward -- I hope they'll pass it. It's just a matter of what we can get passed." - Sen. Josh Hawley (R-MO) speaking about proposals to ban stock trading by members of Congress. The House is expected to vote on a bill today that packages trading restrictions with voter registration requirements; while a congressional stock trading ban has growing popularity in both parties, limited floor time before the midterms, more urgent congressional priorities, and pushback from senior legislators mean such a measure is unlikely to succeed.

On the Radar

24 July: Section 122 tariffs expire

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

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